

CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 30, 2026

All data, projections and opinions are as of the date of this report and subject to change.

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Macro Strategy—War with Iran: Some Lessons and the Long View: The first month of war with Iran has reminded investors of several enduring lessons and the importance of the long view. First, the world talks green—but still runs on black. Despite decades of renewable buildout and climate accords, fossil fuels account for over 80% of global energy consumption. Renewables, though growing, remain an alternative, not a substitute. Second, energy extends far beyond oil and gas. The pain of higher prices extends to the global petrochemical industry, with the Gulf’s dominance in methanol, urea, sulfur, ammonia and helium underscoring the molecular foundation of the global economy. Third, energy shocks are not evenly distributed, hitting net oil importers and Emerging Markets (EM) hardest, while U.S. Equities have outperformed. Fourth, the dollar’s reign continues. In times of global stress, capital still flows to U.S. Treasuries and the greenback. Finally, and most importantly, take the long view and remember that this too shall pass. In the face of crises over the last century, the U.S. economy has proven adaptable time and time again. Periods of acute volatility have typically been followed by an economic revival and sustained gains in Equities, in our view.

Market View—In Retrospect: A Year On From “Liberation Day”: Now at the anniversary of “Liberation Day” (April 2, 2025) tariffs that disrupted decades of rules-based global trade, the feared economic and market fallout ultimately proved far less severe than initially expected. Markets overreacted initially—global Equities sold off sharply, volatility spiked, and recession risks were rapidly increasing. But that faded as equity markets rebounded at a historically fast pace, corporate margins not only held up but rose to multidecade highs, and tariff-driven inflation failed to materialize.

The reality is, Liberation Day reshaped the composition of global trade rather than collapsing it. Corporate America weathered the tariff shock with pricing power and cost discipline, delivering double-digit earnings growth. Meanwhile, predictions of a sustained “Sell America” trade proved misplaced: Foreign ownership of U.S. assets rose to record levels. Those overarching lessons from the past year point to recalibration, not rupture. The global economy bent but did not break amid heightened geopolitical and policy uncertainty

Thought of the Week—When All That Glitters Isn’t Gold: Amid mounting concerns about war and inflation, it should be gold’s time to shine. Instead, the yellow metal’s luster has faded since the Middle East conflict began. The counterintuitive move raises the question—should investors be less bullish on bullion moving forward? In our view, the recent price action likely reflects positioning effects, shifting interest rate expectations, and dollar dynamics, rather than a change in gold’s underlying fundamentals. The recent weakness in gold is unlikely to mark the end of the structural forces that have supported the metal in recent years: Lofty fiscal deficits remain a concern, the dollar is likely to resume its moderation trend, and central banks are little incentivized to stop diversifying their reserve assets. Against this backdrop, we continue to see a place for gold as a strategic diversifier in balanced portfolios.

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MACRO STRATEGY ►

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

War with Iran: Some Lessons and the Long View

Joseph P. Quinlan, *Managing Director and Head of CIO Market Strategy*

The first month of war with Iran has taught or reminded investors of a few lessons, including the following:

One, the world talks green—but runs on black. Despite the massive buildout of renewable energy over the past two decades, and various high-profile climate accords, the world still runs on fossil fuels. According to the Energy Institute, fossil fuels like oil, natural gas and coal account for roughly 81% of global energy consumption. Renewables (hydro, wind, solar) account for roughly 15%. Oil alone powers roughly 95% of the global transportation system.

Ironically, the Middle East has been among the most aggressive investors in renewables over the past decade. However, the region still accounts for roughly 50% of proven global oil reserves, produces about 30% of global oil and has the lowest cost per barrel in the world. The Strait of Hormuz, meanwhile, carries roughly 20% of global oil trade and 20% of natural gas. That is another way of saying that the war in the Middle East matters tremendously to the world energy markets—and is a timely reminder that renewables—which have grown in importance in the overall global energy mix this decade—are more of an alternative to oil and gas, not a substitute.

Two, there is a great deal more to “energy” than just oil and gas. Off the back of soaring prices for naphtha, ethylene, ethane, benzene and other petrochemical feedstocks, the energy shock of 2026 is a timely reminder that the costs of higher oil prices go well beyond the pump, i.e., higher gasoline prices. The pain extends to the global petrochemical industry as well, which is the molecular foundation of the world economy.

Roughly 15% of global oil demand goes into petrochemicals that produce such end-use products as plastics, synthetic fibers, fertilizers, chemicals, pharmaceuticals and other active ingredients of the modern economy. The Gulf region accounts for 40% of the global methanol supply (a key input for plastics), as well as 43% of the global supply of urea, 44% of global sulfur and 27% of global ammonia—all critical inputs to the global fertilizer industry. Qatar alone accounts for 34% of the global supply of helium,¹ a critical input to semiconductor production. The bottom line: Energy price spikes extend well beyond oil and gas. To what extent rising input prices become embedded in global supply chains in the coming months remains a key outlier at this point.

Three, global energy shocks are not evenly distributed. First the good news: The energy intensity of the global economy has dropped sharply from the peak of the 1970s owing to greater energy efficiencies in machines, vehicles and buildings. However, oil price shocks still hurt—notably to net oil importers like South Korea, Japan, Taiwan and much of energy-dependent Europe. Fuel and energy rationing is already spreading across many emerging markets and will become even more intense if the Strait of Hormuz remains closed. A drop in tourism revenue and remittances could compound the pain of the energy shock of 2026 for nations like India, the Philippines and Thailand.

Given the above, last year’s equity leaders have become this year’s laggards. Equity returns in the emerging markets and developed nations have lagged the U.S. since the start of the war, with the S&P 500 outperforming both EMs and Europe by nearly 6%.² A de-escalation in tensions would mean risk-on for EM assets, although we continue to favor U.S. Equities relative to the EM and Europe.

Four, the U.S. dollar’s reign continues. It wasn’t that long ago (last year) that the consensus was that the dollar’s reign as the world’s reserve currency was over, undone by fiscal profligacy, soaring debt levels and protectionist U.S. trade policies. On a real trade-weighted basis, the greenback slumped 7% last year—triggering a deluge of U.S. dollar obituaries. However, since the start of the war (February 28, 2026), the dollar has gained nearly 2%, underscoring the dollar’s utility as one of the world’s safest assets. A close competitor in times of crisis—gold—has slumped by 15% since the end of February.

Investment Implications

In times of heightened market volatility, it is important to have a disciplined and diversified approach to portfolio construction—and to see the forest through the trees.

¹ International Energy Agency, U.S. Geological Survey.

² MSCI Emerging Markets Index and MSCI Europe Index referenced. Data as of March 25, 2026.

In times of global stress, global capital seeks safer harbors, with investors typically selling risky assets (stocks, EM bonds, commodities, etc.) for more liquid buffers like U.S. Treasuries. In addition, margin calls and redemptions pressures trigger forced selling of assets, with those assets often converted to dollars. Investors, in theory, could flee to the Euro, Swiss franc, or gold, but in times of crisis, no other capital markets in the world have the depth, liquidity and capacity to fund the globe. Finally, during crises, the Federal Reserve (Fed) acts as the global lender of last resort, opening up dollar swap lines with other central banks, injecting dollar liquidity globally, while reinforcing the dollar's central role in global finance. Long live the greenback.

The final lesson and taking the Long View—This Too Shall Pass. Historical context is always important in times of intense volatility and, with that in mind, take a look at Exhibits 1 and 2. The first exhibit highlights the S&P 500's performance this decade. And what a decade it has been: a pandemic, a ground war in Europe, a spike in inflation, ChatGPT, Trump 2.0, "Liberation Day" and a war in Iran. The proverbial kitchen sink has been thrown at the U.S. economy and U.S. Equities this decade.

But notwithstanding one punch after another, the U.S. economy has added roughly \$10 trillion in total output to GDP this decade, while the S&P 500 has returned 123% (total return) or 13.7% on an annualized basis. These figures underscore and speak loudly to America's economic ability to pivot, adjust, and reset in the face of adversity. No economic ecosystem in the world is as adaptable as America's. That's the main message of Exhibit 2 as well, which provides a 100-year scan of market returns in the face of multiple crises.

The bottom line: History never repeats itself but rhymes, and our conviction is that the energy shock of 2026 shall pass. With history as a guide, acute periods of market stress/volatility have ultimately been succeeded by an economic revival, a more favorable investment backdrop and sustained price gains for equity markets. Hence, in times of heightened market volatility, it is important to have a disciplined and diversified approach to portfolio construction—and to see the forest through the trees.

Exhibit 1: Charting the Roaring and Roiling 2020s.

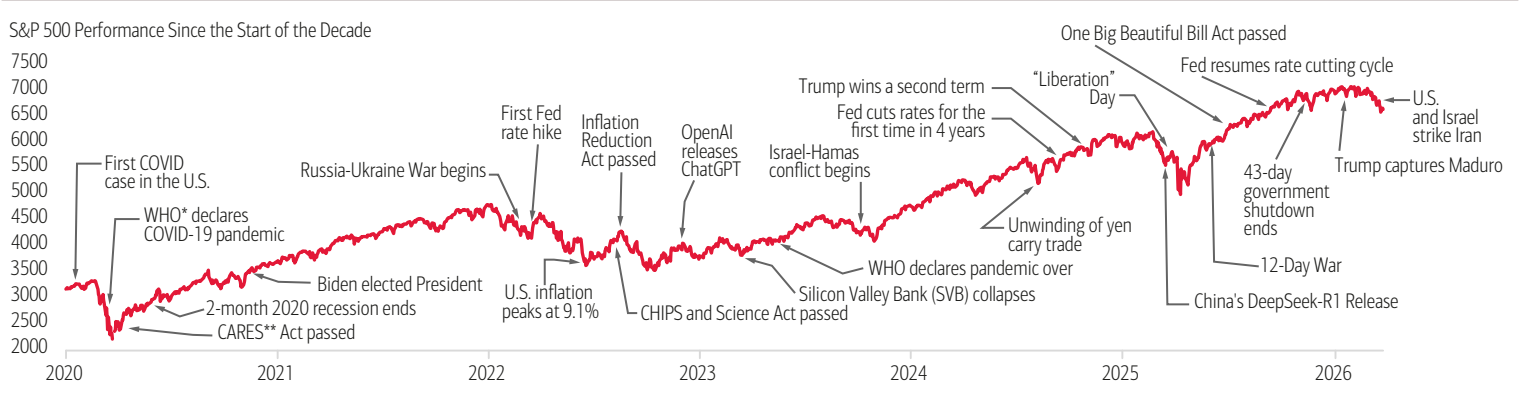


Exhibit 1: *World Health Organization. **Coronavirus Aid, Relief, and Economic Security Act. Source: Bloomberg. Data as of March 25, 2026. **Past performance is no guarantee of future results.**

Exhibit 2: Equity Market and Historical Periods of Crisis and Recovery.

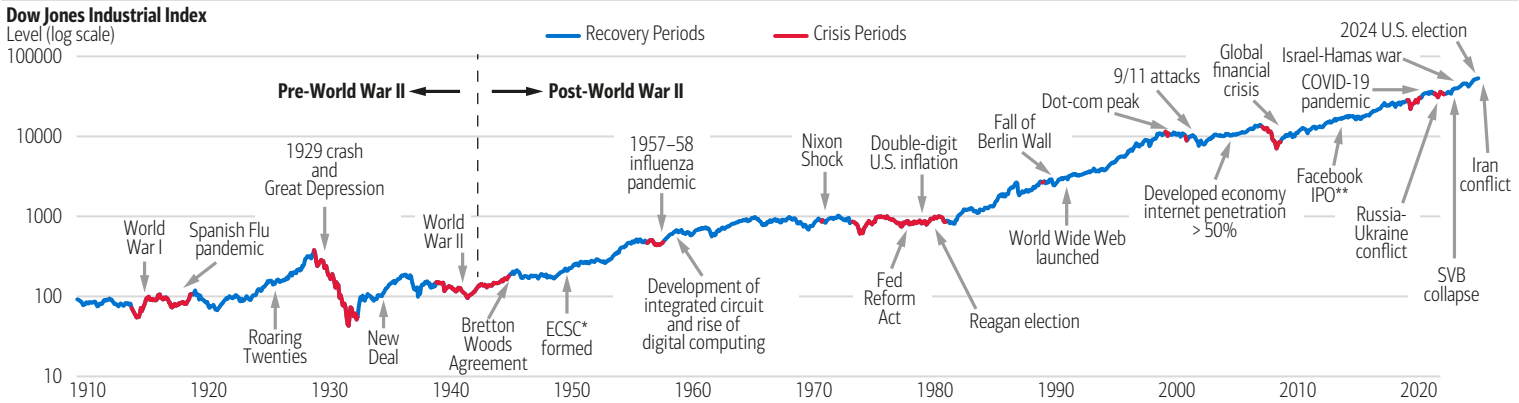


Exhibit 2: *European Coal and Steel Community. **Initial Public Offering. Sources: Chief Investment Office; Bloomberg. Data as of February 2026. **Past performance is no guarantee of future results.**

In Retrospect: A Year On From “Liberation Day”

Lauren Sanfilippo, Director and Senior Investment Strategist
Ariana Chiu, Assistant Vice President and Investment Strategist

A year ago, President Trump’s “Liberation Day” tariffs upended roughly eighty years of rules-based global trade. The aftershocks were immediate: global Equities dropped, gold prices soared, the dollar fell, inflation expectations moved higher, and Wall Street quickly slashed earnings expectations against the rising odds of a global recession.

Yet, not for the first time, the worst-case scenario did not come to pass. The U.S. economy and corporate America adjusted rather quickly, as did the global economy. Tariff-driven inflation failed to transpire as companies not only insulated margins from degradation, but also has adeptly boosted margins to multidecade highs. The destruction wrought to Equities—the S&P 500 declined 18.9% over 34 trading sessions—was fleeting. After hitting a trough on April 8, 2025, the S&P 500 was back in positive territory some 21 days after Liberation Day—a remarkably rapid recovery by historical standards. Global Equities followed a similarly robust recovery path.

There were many ingredients to the market rebound, including synchronized easing by major central banks, proactive fiscal policies, adroit supply chain management among firms, and the front-loading of trade. Solid consumer spending among households, coupled with strong capital expenditure spending on data centers from hyperscalers, kept the U.S. economy humming.

Now 12 months later, we reflect on the reverberations and aftershocks since Liberation Day—specifically on trade, U.S.-China relations, the corporate operating environment and the foreign allure to U.S. assets.

The composition of trade was changed without collapse. As blended tariff rates reached their highest levels in nearly a century, the first-order impacts were on global trade. But expecting a rupture in global supply chains and trade relations, it went more like this, according to McKinsey:³

- Despite widespread concerns, trade grew broadly in line with global GDP.
- The largest adjustment occurred in U.S.–China trade. Bilateral flows fell by roughly 30%, reflecting both imposed tariff and ongoing aspirations to diversify supply chains. Yet U.S. imports and China exports both reached new respective highs (Exhibit 3A).
- China continued its shift upstream in global production. The Association of Southeast Asian Nations economies, wedged between the U.S. and China, emerged as key beneficiaries as firms rerouted supply chains. Meanwhile, the European Union faced a “double squeeze” from China flooding Europe with imports and higher U.S. tariffs, prompting a deepening in trade ties beyond its two largest partners.
- Trade tied to the Artificial Intelligence (AI) boom accelerated sharply, particularly along supply chains running through Taiwan, South Korea, and Southeast Asia. Shipments of chips, servers and networking equipment for data center construction accounted for roughly one third of total trade growth in 2025, much of it occurring between geopolitically aligned economies.

And so the result was not retrenchment but reallocation and rerouting of goods. AI-driven trade, the rising role of “third” countries, China’s upstream migration and geopolitical fragmentation are post-Liberation Day distortions but also likely more permanent features of global trade.

While the rest of the world stood still, China fought back. The immediate fallout from Liberation Day mattered for markets, to be sure, but it was the reaction to U.S. tariffs—i.e., whether the rest of the world chose to retaliate or retreat—that ultimately determined the impact of April 2 to economic growth and corporate profits. Thankfully for the growth backdrop, the rest of the world primarily chose the latter (retreat), which enabled the global economy to avoid an outright trade war and set the stage for a blistering rally in global equities.

³ McKinsey Global Institute report, “Geopolitics and the geometry of global trade: 2026 update,” March 19, 2026.

Investment Implications

While a great deal has transpired since Liberation Day in 2025, one lesson remains. The post-Liberation Day bounce serves as a reminder that the worst days can be followed closely by the best recoveries. April 3 and April 4 ranked among the worst trading days of last year, yet the rebound on April 9 stood as one of the strongest. This close proximity reinforces the importance of staying invested through periods of volatility. Avoiding weathering the volatility may ultimately mean being sidelined for the recovery.

The wrinkle? China proved the exception to the rule, not only retaliating against the U.S. with tariffs of their own but also exposing its chokehold on rare earths and, thus, its chokehold on global defense systems, the auto industry, and the modern industrial and digital economy. The lesson for investors remains: When it comes to technology and infrastructure, Beijing has leverage over the U.S. and the rest of the world owing to its dominance of the production and refinement of critical minerals. To wit, according to the Census Bureau, despite China's share of total U.S. goods imports declining from its peak of 21.6% in 2017 to just 9.0% last year, the second largest economy in the world is still responsible for 88% of the U.S.' rare earths imports. We're far from a true "decoupling," in other words. China's stranglehold on critical inputs to strategic technologies will be a key theme for years to come.

Earnings in the Tariff Wake. The sharp repricing of analyst estimates triggered by Liberation Day and the anticipated tariff-driven deterioration in Corporate America's earnings never materialized. Rather than ushering in recessionary conditions, corporations adjusted through a combination of pricing discipline, cost management and supply chain reconfiguration. Importantly, consumer demand proved sufficient to allow revenues to continue expanding, supported by healthy household balance sheets. As a result, corporate earnings continued to grow by double digits, with the S&P 500 running up a streak of five consecutive quarters of double-digit earnings growth.

Through the tariff uncertainty, firms proved remarkably effective at defending margins, which remained near multidecade highs as consumers and downstream businesses bore much of the direct cost of tariffs through higher prices. Taken together, the post-Liberation Day period illustrates Corporate America's ability to not dodge the costs of tariffs but successfully navigate such an uncertain operating environment.

So much for the "Sell America" trade. Between the administration's protectionist bias, unpredictable foreign policy and an elevated budget deficit, the narrative over much of last year was that foreign investors were bailing on/selling U.S. assets. Hardly the case.

The latest flow of funds data from the Fed indicates the opposite. Foreigners are indeed more entangled with U.S. securities than ever before: As of Q4 2025, foreign investors owned \$20.5 trillion in U.S. Equities—a record high and nearly 21% more than the year prior (Exhibit 3B). U.S. Treasury ownership by the rest of the world rose 8% over the year to \$9.2 trillion, with foreigners still controlling roughly 31% of the Treasury market. That's another way of saying that, despite what headlines suggest, foreigners still have faith in the U.S. economy. Yes, the stakes are high with U.S. publicly held debt now at \$31 trillion and climbing. But as the eventful year since Liberation Day has taught us, we'd fade concerns of foreign investors ditching America.

The Bottom Line: For all the concerns and handwringing of last April, the global economy and its trading systems did bend but did not break. That's much like Corporate America, which absorbed the shock and adjusted—sustaining earnings growth even in the face of much uncertainty. The threat of tariffs accentuated the cards that both sides hold between U.S./China trade relations, and yet capital continues to be routed to the U.S.

Exhibit 3: U.S. Imports and China Exports Weathered the Tariff Storm, as Foreigners Embraced Allocations to U.S. Assets.

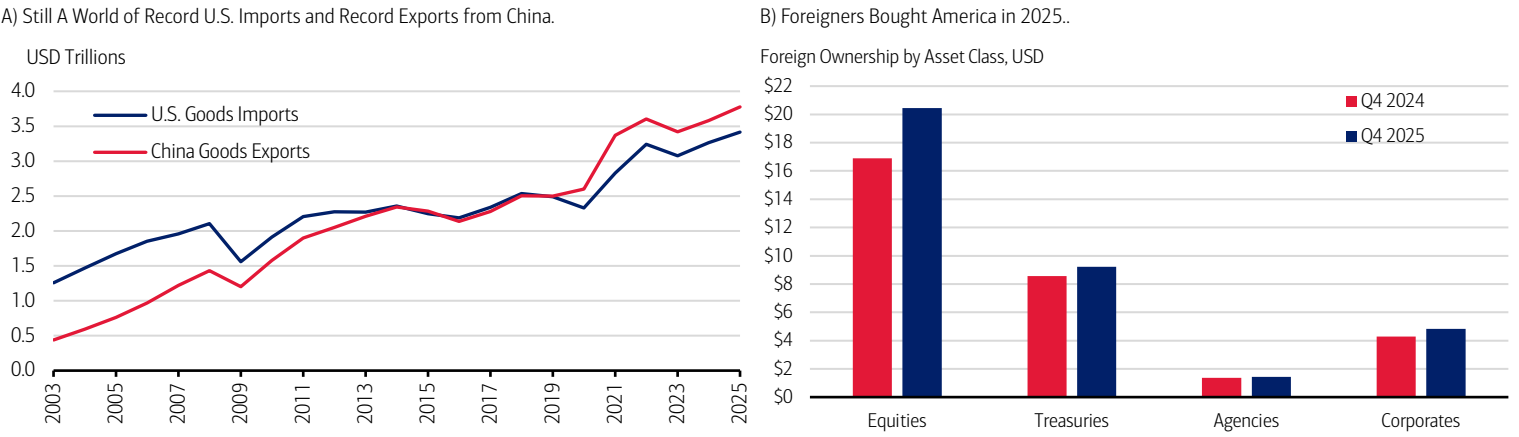


Exhibit 3A) Sources: U.S. Census Bureau; China General Administration of Customs. Data as of March 2026. Exhibit 3B) Source: Federal Reserve. Data as of March 20, 2026.

When All That Glitters Isn't Gold

Emily Avioli, Vice President and Investment Strategist

Amid mounting concerns about war and inflation, it should be gold's time to shine. Instead, the yellow metal's luster has faded, with the price tumbling by roughly -16.0% since the Middle East conflict began (Exhibit 4). Gold has moved largely in tandem with risk assets over the past four weeks, defying its conventional role as a geopolitical hedge. The counterintuitive move raises the question—should investors be less bullish on bullion moving forward? Our take: The recent price action likely reflects positioning effects, shifting interest rate expectations, and dollar dynamics, rather than a change in gold's underlying fundamentals.

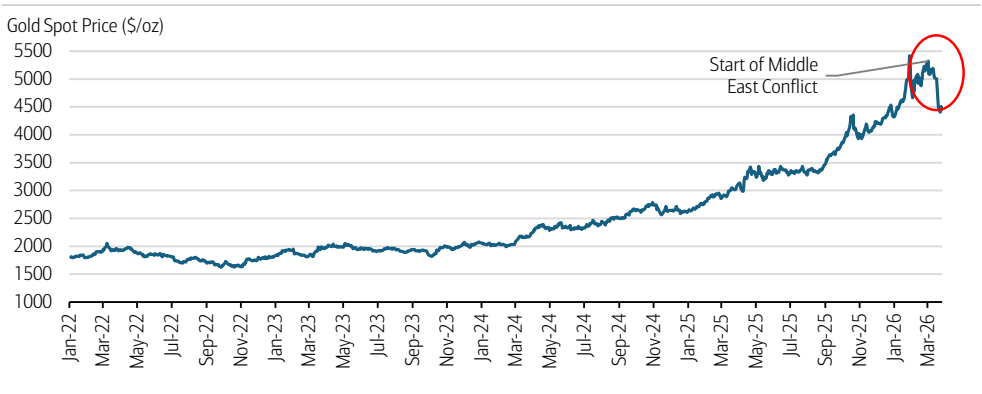
The pullback in gold follows an extraordinary run. Supported by elevated central bank purchases and renewed retail enthusiasm, gold prices have risen sharply since 2022, recently surpassing the \$5,400/oz threshold in January. Historically, after large rallies in any commodity price in a short window of time, that commodity usually has a consolidation period or digestion of the abnormally large gains. This has been playing out with the current pullback in gold prices. In addition, positioning had become increasingly extended on the heels of the historic rally, likely leading to profit-taking when risk-off sentiment took hold as the Middle East conflict heated up. The move to sell gold to raise liquidity may have been amplified by depleted levels of institutional cash on the sidelines, which had fallen to record lows in January.⁴

Rising yields have also contributed to gold's reversal. Higher energy prices have rekindled concerns about inflation and, in turn, altered the outlook for monetary policy. Expectations for interest rate cuts have been pushed out, with fed funds futures pricing in a non-trivial possibility that the Fed's next move could potentially be a hike.⁵ As real yields have risen, the opportunity cost of holding nonyielding assets like gold has increased, reducing the relative appeal compared to income-generating alternatives.

The dollar has presented another headwind. Since the conflict began, the dollar has strengthened as investors have gravitated toward its "safe-haven" characteristics. Given gold's historical role as a medium of exchange and a store of value, it has traditionally been viewed as an alternative to the dollar and has tended to move inversely with the exchange rate value of the dollar over recent decades.

In our view, however, the recent weakness in gold is unlikely to mark the end of the structural forces that have supported the metal in recent years. Lofty fiscal deficits remain a concern, the dollar is likely to resume its moderation trend, and central banks are little incentivized to stop diversifying their reserve assets. Once uncertainty surrounding the Middle East conflict begins to fade, these underlying demand drivers should once again reassert themselves. Against this backdrop, we continue to see a place for gold as a strategic diversifier in balanced portfolios.

Exhibit 4: Gold's Multi-Year Ascent Recently Hit Pause.



Source: Bloomberg. Data as of March 26, 2026. **Past performance is no guarantee of future results.**

⁴ BofA Global Research Fund Manager Survey. January 20, 2026.

⁵ Bloomberg. Data as of March 25, 2026.

Investment Implications

The underlying factors supporting gold should remain intact over the long-term, despite near-term volatility. Commodities like gold and other precious metals can serve as strategic diversifiers in balanced portfolios.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	45,166.64	-0.9	-7.6	-5.6
NASDAQ	20,948.36	-3.2	-7.5	-9.7
S&P 500	6,368.85	-2.1	-7.3	-6.7
S&P 400 Mid Cap	3,310.82	0.5	-7.3	0.5
Russell 2000	2,449.70	0.5	-6.8	-1.0
MSCI World	4,180.83	-1.5	-8.1	-5.4
MSCI EAFE	2,839.24	0.1	-10.4	-1.4
MSCI Emerging Markets	1,437.25	-1.7	-10.6	2.7

Fixed Income[†]

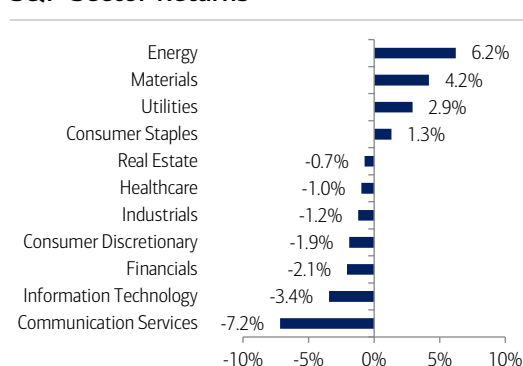
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.60	-0.13	-2.50	-0.90
Agencies	4.29	-0.02	-1.38	-0.17
Municipals	3.83	-0.81	-2.72	-0.58
U.S. Investment-Grade Credit	4.69	-0.12	-2.49	-0.79
International	5.27	-0.23	-2.86	-1.43
High Yield	7.68	-0.47	-1.97	-1.29
90 Day Yield	3.68	3.70	3.66	3.63
2 Year Yield	3.91	3.90	3.37	3.47
10 Year Yield	4.43	4.38	3.94	4.17
30 Year Yield	4.96	4.94	4.61	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	340.82	0.1	10.6	23.4
WTI Crude \$/Barrel ^{††}	99.64	1.3	48.7	73.5
Gold Spot \$/Ounce ^{††}	4494.09	0.0	-14.9	4.0

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.15	1.16	1.18	1.17
USD/JPY	160.31	159.23	156.05	156.71
USD/CNH	6.92	6.91	6.86	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/23/2026 to 3/27/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 3/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 3/27/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.5	3.4
Real U.S. GDP (% q/q annualized)	3.3	3.0	2.0	2.0	2.7	2.1
CPI inflation (% y/y)	2.8	4.1	3.6	3.3	3.4	2.2
Core CPI inflation (% y/y)	2.5	2.8	2.6	2.6	2.6	2.4
Unemployment rate (%)	4.4	4.5	4.4	4.3	4.4	4.3
Fed funds rate, end period (%)	3.63	3.38	3.13	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of March 27, 2026.

Sources: BofA Global Research; GWIM ISC as of March 27, 2026.

Asset Class Weightings (as of 3/4/2026)

Asset Class	CIO View		
	Underweight	Neutral	Overweight
Global Equities	•	•	•
U.S. Large-cap Growth	•	•	•
U.S. Large-cap Value	•	•	•
U.S. Small-cap Growth	•	•	•
U.S. Small-cap Growth	•	•	•
International Developed	•	•	•
Emerging Markets	•	•	•
Global Fixed Income	•	•	•
U.S. Governments	•	•	•
U.S. Mortgages	•	•	•
U.S. Corporates	•	•	•
International Fixed Income	•	•	•
High Yield	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•
U.S. High Yield Tax Exempt	•	•	•
Alternative Investments			
Hedge Strategies			
Private Equity			
Private Credit			
Real Assets			
Cash			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View		
	Underweight	Neutral	Overweight
Financials	•	•	•
Utilities	•	•	•
Consumer Discretionary	•	•	•
Industrials	•	•	•
Information Technology	•	•	•
Healthcare	•	•	•
Materials	•	•	•
Real Estate	•	•	•
Consumer Staples	•	•	•
Communication Services	•	•	•
Energy	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI Emerging Markets Index is a float-adjusted market capitalization index designed to measure the equity performance of large and mid-cap companies across 24-27 developing nations.

MSCI Europe Index is a free float-adjusted market capitalization index designed to measure the equity performance of large and mid-cap stocks across 15 developed markets in Europe.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 23, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—AI and Creative Destruction: Artificial Intelligence (AI) is the latest manifestation of the process by which technological progress transforms the economy. In free markets where creative destruction is given leeway to take advantage of the expanding frontiers of knowledge, it is especially disruptive. Because this process is accelerating, there is increasing uncertainty about the longevity of the businesses in the equity market with the software industry in the bullseye of this issue most recently. Diversification can be even more helpful than usual in this environment as is indexation to indexes that drop the failed companies from creative destruction while incorporating the new technology leaders into their index as the S&P 500 does.

Market View—China's Five-Year Plan: Local Stability Amid Global Uncertainty:

Throughout the conflict-driven volatility of recent weeks, China's equity market has been among the most stable of the major global benchmarks. Despite being the largest net importer of energy by volume, China has remained more insulated from the turbulence in oil and gas markets than most other economies in Asia. Reinforced by the economic direction outlined in its 15th Five-Year Plan, we expect to see China's local market remain relatively insulated from both internal and external headwinds. And even as its headline rate of economic growth decelerates further, China's pace of development and adoption in new technologies should remain high.

Thought of the Week—The AI In Between: We are somewhere in between AI's economic and labor impacts having emerged but not yet fully realized. Generative AI is operating at a speed and scale that would have seemed implausible only a few years ago. The occupational mix has begun to be disrupted, without causing widespread displacement of entire job categories. Accordingly, the multiyear runup in business formation activity highlights the U.S. economy's capacity to adapt and generate new forms of work amid technological disruption. Long-run AI driven productivity gains hinge on the buildout of U.S. infrastructure, which should benefit technology hardware, data centers build outs, network infrastructure, power grid modernization, and related electrical and cooling systems.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

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AI and Creative Destruction

Chief Investment Office, Macro Strategy Team

As the world approaches the singularity point where machine intelligence is poised to surpass human intelligence by orders of magnitude, the economy is being radically transformed. The increasing speed of this transformation implies the process of creative destruction is becoming more powerful. The realization that longstanding commercial franchises are unlikely to last as long as in the past because of this process has most recently impacted the valuations of software companies that are judged particularly vulnerable to creative destruction by AI.

AI is currently the focus of how technology will reshape the economy. It raises many of the same issues that prior technological innovation waves have created for humanity. When the industrial revolution began in the late 1700s, a process of replacing hand labor with machines began. In England, weaving machines replaced skilled craftsmen who wove by hand giving rise to the Luddite movement where protesting laborers began destroying the new machines with hammers. Concerns about their jobs, working conditions and incomes drove the protests. The term “Luddite” became synonymous with anyone who is opposed to new technology, automation and more modern working conditions. But in its broadest original sense, the protest movement anticipated the general set of changes that affect workers when creative destruction transforms the economy.

While the first phases of this process mainly hit workers who produce goods, AI is much more impactful for the knowledge workers who have prospered during the digital information age of the past 60 or 70 years. Software programmers are the weavers of our current time. Knowledge workers in general are most vulnerable to AI’s creative destruction potential, while certain “hands-on” professions are relatively insulated. That said, the transformation coming from AI and digital technology in general is impacting much more than just knowledge workers as we have already seen in places like the automotive and agricultural industries, for example.

While the laborers who were displaced by machines during the industrial revolution were able to move into new and growing service industries, allowing the economy to keep expanding and unemployment to stay low while incomes and living standards rose, with the higher productivity that comes from technological progress, there are major doubts about where the jobs and incomes will come from if AI is eventually able to do everything that workers do today. These same doubts have been around ever since the Luddites, yet the progress that follows rising productivity and new technologies has always created new industries that provide incomes for labor.

However, one of the consequences of digital technology has been an increasing share of income going to the owners of capital and a declining share to labor (Exhibit 1A). AI is likely to exacerbate this trend even more. The growing share of capital as opposed to labor income is also implicit in the rising level of wealth relative to income. Since the 1960s the ratio of household wealth to income has risen from around five times to about eight times (Exhibit 1B).

An important implication of this transition from most labor income to mostly capital income is a need to broaden ownership of capital to mitigate the effects of a shrinking labor income share on the broader population. To some extent, this is already happening, at least in the U.S., where there is much wider ownership of Equities compared to most other economies. Without policies to make the ownership of capital and its growing income share more widespread, political polarization and instability are likely to increase as we have seen in recent years.

To some extent, this process of widening capital ownership is already under way, for example, with sovereign wealth funds like that in Norway, which surpassed a record value

Investment Implications

Diversification and market indexation may provide some defense in a world where accelerating creative destruction may shorten the lifespan of companies.

of \$2 trillion in early 2026, representing several hundred thousand dollars per Norwegian. Starting Individual Retirement Account (IRA) saving programs at birth is also a new policy idea to address this issue. Employee ownership of firms (ESOPs) is another approach that's been around for a while. A key issue for these programs is how to guard the integrity of these plans from the possible corrupting influence of politicians. In any event, without these policy attempts to broaden ownership of an economy with a shrinking labor share of income, political tensions are likely to continue to rise.

For investors, the growing share of capital income is a plus, but the accelerating pace of technological change creates uncertainties, as it can shorten the lifespan of companies they own as obsolescence comes sooner and creative destruction becomes more widespread.

While diversification is useful for many reasons, heightened uncertainty about the duration of a particular company's business model adds to the attractiveness of more eggs in the portfolio basket. It also makes diversifying across sectors and industries potentially more helpful.

The speed with which new companies are born and die is faster in a world with accelerating creative destruction. The constituents of market indexes like those for the S&P 500 are always changing as companies go through life cycles; as the victims of creative destruction fall out of the index, the new successful innovators come into the index as their businesses grow. This provides a bit of a dynamic hedge against the creative destruction process.

While past innovation waves have always paved the way for new jobs to replace the old ones, AI is likely to bring especially radical changes to society and the labor market. For one thing, its creative destruction is focused on the knowledge workers who were beneficiaries of the earlier innovations displacing workers in goods-producing and manufacturing industries. For another, it's clear that digital technology has fostered a trend toward a diminishing labor share of the economic pie. AI has the potential to put that trend on steroids in our view. If so, this implies a policy debate needs to focus on ways for the general population to share in the abundance that this technological progress makes possible.

Exhibit 1: Capital Income Rising Compared to Labor Income in the Digital Age.

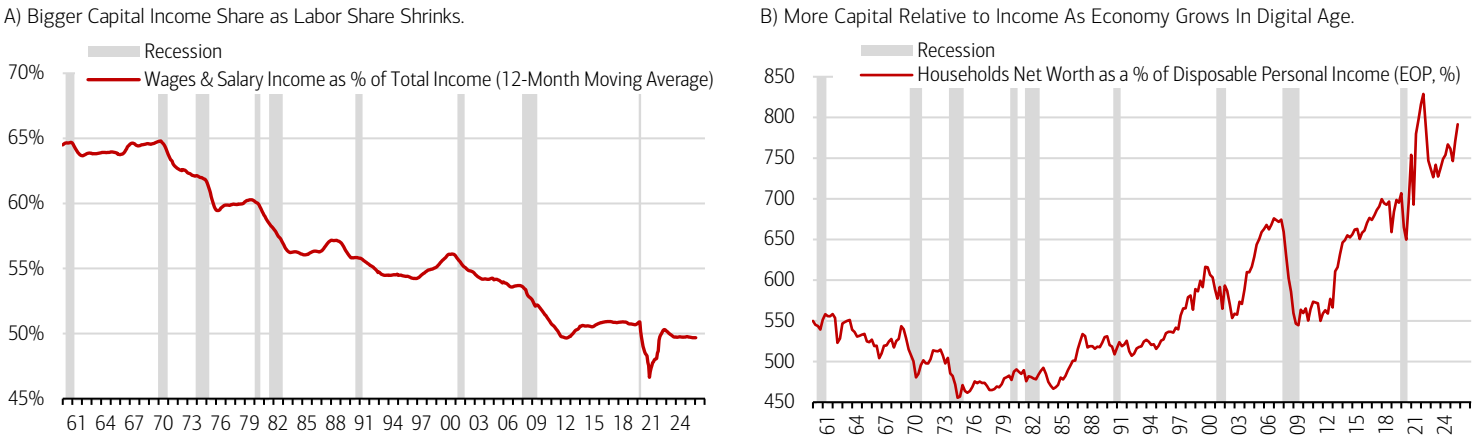


Exhibit 1A) Sources: Bureau of Economic Analysis/Haver Analytics. Data as of March 13, 2026. Exhibit 1B) Sources: Federal Reserve Board/Haver Analytics. Data as of January 9, 2026.

China’s Five-Year Plan: Local Stability Amid Global Uncertainty

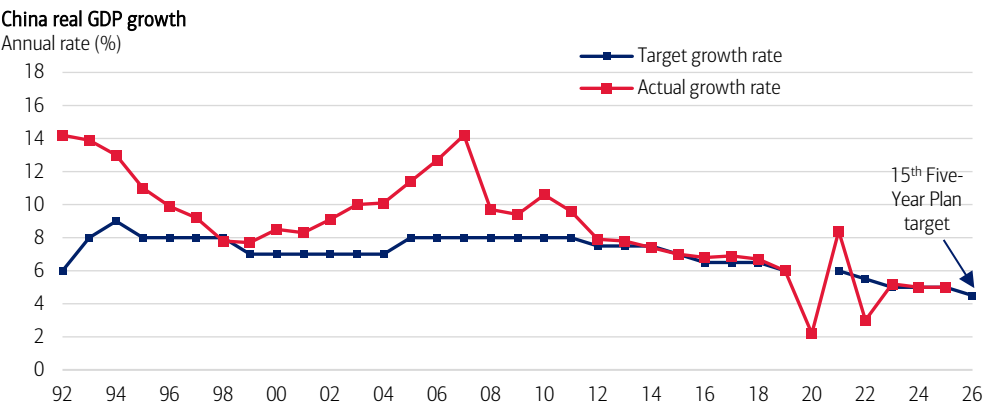
Ehiwario Efeiyini, Director and Senior Investment Strategist

Throughout the conflict-driven volatility of recent weeks, China’s equity market has been among the most stable of the major global benchmarks. Despite being the largest net importer of energy by volume, China has remained more insulated from the turbulence in oil and gas markets than most other economies in Asia. Its large oil stockpiles, estimated at around 1.2 billion barrels (at least three times the amount pledged for release by the International Energy Agency) cover three to four months of domestic supply. And the diversification of its energy sources away from imported fossil fuels in transportation and electricity generation has further shielded China’s economy from the current energy shock. At just over 40% of EM GDP, close to 30% of EM market capitalization and as the largest trading partner for the majority of emerging economies, China remains the economic anchor for the emerging world.

Above all else, China’s leadership prioritizes economic and, ultimately, social stability. And against the backdrop of conflict uncertainty in the Middle East, China’s 15th Five-Year Plan—initially adopted last October—was formally approved this month at the conclusion of its annual National People’s Congress. China’s five-year plans are the principal framework for the strategic aims of its leadership and the main guidepost for its economic direction, setting national priorities over the medium term. And they highlight the sectors and industries to which China authorities are committing the most resources at the national and provincial level through both state-owned enterprises and private companies. For the 15th Five-Year Plan, these priorities span the remainder of the current decade from 2026-2030.

In terms of the aggregate macroeconomy, the latest five-year plan sets a growth target for China of 4.5% to 5%—the lowest since the 1990s (Exhibit 2)—while still aiming to double per capita GDP from 2020 levels by 2035, which would raise it to over \$20,000.

Exhibit 2: China’s Trend Economic Growth Rate Continues to Decline.



Sources: National Bureau of Statistics; Bloomberg. Data as of 2026. Growth target shown is the lower bound when set as a range.

Without setting an explicit target, the Plan also has a stated objective of directly increasing the rate of household consumption, which at 40% of GDP remains well below the 55% to 60% typical of higher-income economies. Nonetheless with the growth rate of per capita income likely to slow in line with GDP, this will require a lower household savings rate even against the backdrop of an ongoing slump in property prices, a lackluster labor market and weak consumer confidence. Increased fiscal spending on public services and social welfare is expected to be a key driver here, with specific initiatives in the Plan to widen access to healthcare, pensions and insurance, as well as to expand paid leave and strengthen consumer rights protections.

But beyond absolute growth rates, the main focus of the Plan is the composition of China’s economic activity over the next five years (Exhibit 3). On natural resource consumption, the 15th Five-Year Plan period is expected to mark the peak in consumption of oil and coal by 2030 on the way to net zero emissions by 2060. And a projected 17% reduction in carbon dioxide emissions per unit of GDP further reinforces the view that China will become a much smaller driver of global fossil fuel demand over the years ahead, just as its impact on global demand for industrial metals has diminished with the structural decline of its traditional

Investment Implications

Despite a range of both internal and external challenges in the current environment, we expect China’s local equity market to stay relatively insulated, remaining an anchor for the wider EM benchmark. And even as its headline rate of economic growth decelerates further, China’s pace of development and adoption in new technologies should remain high, reducing its dependence on foreign suppliers and boosting its local technology-linked market segments.

growth engines of real estate and construction. This also underlines China's relative insulation from current and future energy shocks given its increasingly diversified energy mix.

Exhibit 3: China's 15th Five-Year Plan—Key Strategic Economic Aims.

Key targets under China's 15 th Five-Year Plan (2026 to 2030)			
Category	Indicator	2025 baseline	2030 target
Macroeconomy	Real GDP growth (%)	5	4.5 - 5
	Productivity growth (%)	6.1	> GDP growth
	Per capita disposable income growth (%)	5	In line with GDP growth
	Urbanization rate (%)	67.9	71
Innovation	Annual growth of research & development (R&D) expenditure (%)	9.1	>7
	High value patents (per 10,000 people)	16	> 22
	Value-added share of digital industries in GDP (%)	10.5	12.5
Decarbonization	Reduction in carbon emissions per unit of GDP (%)	17.7	17
	Non-fossil fuel share in total energy consumption (%)	21.7	25

Sources: National People's Congress, Chief Investment Office. Data as of 2026.

Technological improvement has now been a multiyear priority for China's leadership, but it remains at the center of the 15th Five-Year Plan. And this latest iteration in fact reaches a high watermark for emphasis in these domains, with the terms "scientific and technological innovation" and "high-quality development" mentioned more times in the official text than in the last two plans combined. This also comes alongside the new term "technological self-reliance." China's strategic aim to reduce its technological dependence on the rest of the world and become more self-sufficient has only been reinforced in recent years by pandemic supply chain disruptions, rounds of U.S. semiconductor export controls and now the risks to energy supply emanating from the conflict in the Persian Gulf. The government, in its latest five-year plan, aims to increase its overall national R&D spending by an average of at least 7% each year over the next five years. And it also proposes raising digital economy industries to a 12.5% value-added share of GDP by 2030, up from 10.5% at the end of the 2021 to 2025 period.

At its core, this means moving further up the output value chain by boosting investment in advanced manufacturing, implying that competitive pressures on European manufacturers are likely to persist in key areas such as electric vehicle production. And crucially it also means investing more into strategic technologies such as semiconductors, quantum computing, next-generation 6G telecommunications networks, biotechnology and AI which could ultimately also reduce its dependence on the U.S. and its allies for the most advanced chips and leading-edge chip manufacturing equipment.

For China's domestic economy, the Plan also includes an "AI-plus" initiative to integrate AI across a range of sectors including manufacturing, mining, chemicals, textiles, logistics and healthcare. The aim here is to modernize these traditional industries with the stated goal of reaching penetration rates of 70% by 2027 and 90% by 2030. This should also boost China's local Information Technology hardware and equipment makers, as well as its leading internet companies and local startups as open-source models and applications are adopted both within China and across other emerging economies.

China still faces a range of internal challenges from its maturing economy, still weak household consumption, persistent drag from the property sector and deflationary pressures from industrial competition; in addition to external challenges from trade and technology restrictions, supply-chain vulnerabilities and most recently conflict-induced risks to its energy supply. But reinforced by the economic direction outlined in its latest five-year plan we nonetheless expect China's local market to stay relatively insulated from these headwinds, remaining an anchor for the wider EM benchmark. And even as its headline rate of economic growth decelerates further, China's pace of development and adoption in new technologies should remain high.

The AI In Between

Lauren Sanfilippo, Director and Senior Investment Strategist

Before reaping the full economic benefits and employment consequences of AI we are currently in an “in between” period. At a speed and scale thought implausible just a few years ago, generative AI drafts text, writes code, analyzes data, generates visuals, and automates routine cognitive tasks. Generally, this has led firms to employ and embed AI into workflows without a significant contribution to joblessness. The Census Bureau finds that over 94% of firms using AI have not reduced headcount.

At least not yet. Roles at acute risk of disruption include customer support, paralegal work, content generation and data entry, according to Anthropic analysis.¹ That adds up, considering the higher levels of task automation in those roles. But to borrow a line from Jensen Huang, Nvidia’s CEO, AI won’t take jobs; the people who leverage AI better than you will. And so, we are living through an “AI in between” moment, an intermediate phase in which task automation within existing jobs and is advancing faster than the creation or elimination of job categories. Future roles could emerge that didn’t exist before large-scale AI model deployment, including prompt engineers, AI compliance officers, model risk managers and digital worker supervisors.

Already, the occupational mix has shifted over the past three years at a pace comparable to the periods following two major technological inflection points: the commercial computer era and Internet era (Exhibit 4A). Measured differently, business creation has structurally moved higher in recent years and likely remained higher with the advent of AI as a contributing factor. The Census Bureau shows business formation (measured by employer identification numbers) has surged during the pandemic and since remained relatively elevated (Exhibit 4B). That point underscores the entrepreneurial DNA of the U.S. economy, with small business startups a long-time job generator.

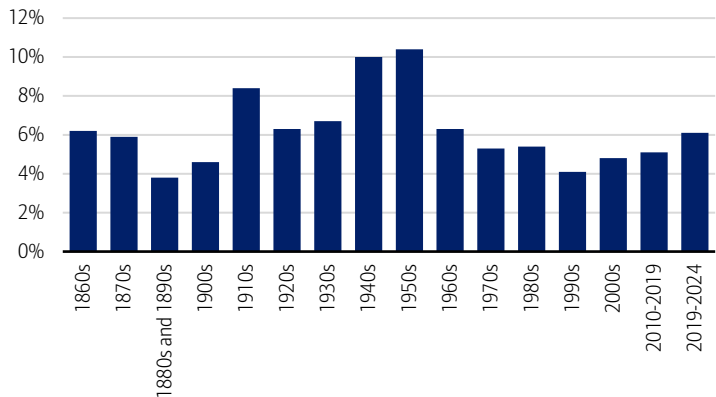
The bottom line being, AI’s impact is now observable rather than hypothetical, but its full implications have yet to materialize. Future iterations will challenge these assumptions on the labor market, but the bottom line is this: Labor is being reconfigured as AI becomes more embedded in the U.S. economy.

Investment Implications

Realizing AI-driven productivity gains depends on the buildout of foundational AI infrastructure. Accordingly, we would align investment positioning with long-cycle capital spending across technology hardware, power grid modernization, electrical and cooling equipment, data centers, and network infrastructure.

Exhibit 4: Job Genesis Afoot as Business Formation Surges.

A) Rate of Change of Occupational Mix by Decade.



B) Weekly Business Applications in Thousands, Seasonally Adjusted (4-week moving average).

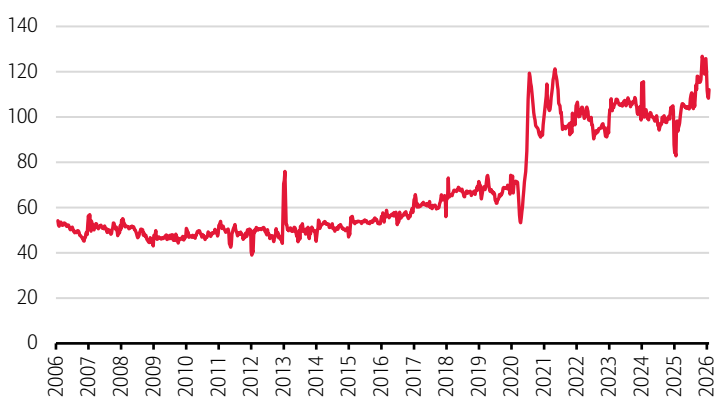


Exhibit 4A) Source: Hamilton Project, Brookings Institute. Bars represent rate of change across occupational sectors, by decade or by decadalized rate for non-decade time periods. Data as of 2024. Exhibit 4B) Sources: Census Bureau, Haver Analytics. Data as of March 2026.

¹ Anthropic Research, “Labor market impacts of AI: A new measure and early evidence,” March 5, 2026

Asset Class Weightings (as of 3/4/2026)

Asset Class	CIO View /		
	Underweight	Neutral	Overweight
Global Equities	●	●	●
U.S. Large-cap Growth	●	●	●
U.S. Large-cap Value	●	●	●
U.S. Small-cap Growth	●	●	●
U.S. Small-cap Value	●	●	●
International Developed	●	●	●
Emerging Markets	●	●	●
Global Fixed Income	●	●	●
U.S. Governments	●	●	●
U.S. Mortgages	●	●	●
U.S. Corporates	●	●	●
International Fixed Income	●	●	●
High Yield	●	●	●
U.S. Investment-grade	●	●	●
Tax Exempt	●	●	●
U.S. High Yield Tax Exempt	●	●	●
Alternative Investments*			
Hedge Strategies		●	
Private Equity		●	
Private Credit		●	
Real Assets		●	
Cash			

CIO Equity Sector Views

Sector	CIO View /		
	Underweight	Neutral	Overweight
Financials	●	●	●
Utilities	●	●	●
Consumer Discretionary	●	●	●
Industrials	●	●	●
Information Technology	●	●	●
Healthcare	●	●	●
Materials	●	●	●
Real Estate	●	●	●
Consumer Staples	●	●	●
Communication Services	●	●	●
Energy	●	●	●

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/20/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	0.7	2.1*	3.3	3.0	2.0	2.0	2.7
CPI inflation (% y/y)	2.7	2.7*	2.8	4.0	3.5	3.2	3.3
Core CPI inflation (% y/y)	2.7	2.9*	2.5	2.8	2.6	2.6	2.6
Unemployment rate (%)	4.5	4.3*	4.4	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics.

There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.

A = Actual. E/* = Estimate. Data as of March 20, 2026.

Sources: BofA Global Research; GWIM ISC as of March 20, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	45,577.47	-2.1	-6.8	-4.8
NASDAQ	21,647.61	-2.1	-4.4	-6.7
S&P 500	6,506.48	-1.9	-5.3	-4.7
S&P 400 Mid Cap	3,296.29	-1.3	-7.7	0.0
Russell 2000	2,438.45	-1.7	-7.3	-1.5
MSCI World	4,244.09	-2.0	-6.8	-4.0
MSCI EAFE	2,840.61	-2.1	-10.5	-1.5
MSCI Emerging Markets	1,463.33	-0.3	-9.0	4.5

Fixed Income[†]

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.56	-0.46	-2.38	-0.78
Agencies	4.28	-0.41	-1.36	-0.15
Municipals	3.67	-0.49	-1.92	0.23
U.S. Investment-Grade Credit	4.66	-0.51	-2.38	-0.68
International	5.22	-0.27	-2.63	-1.20
High Yield	7.46	-0.31	-1.51	-0.82
90 Day Yield	3.70	3.68	3.66	3.63
2 Year Yield	3.90	3.72	3.37	3.47
10 Year Yield	4.38	4.28	3.94	4.17
30 Year Yield	4.94	4.90	4.61	4.84

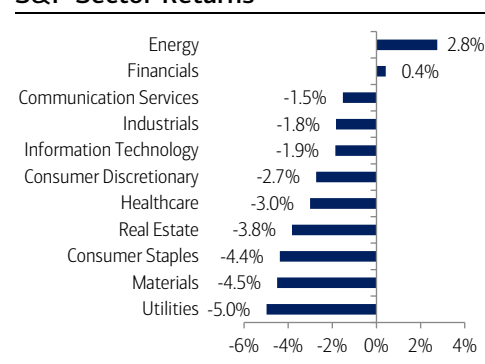
Sources: Bloomberg, Factset. Total Returns from the period of 3/16/2026 to 3/20/2026. †Bloomberg Barclays Indices. ‡Spot price returns. All data as of the 3/20/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Commodities & Currencies

Commodities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Bloomberg Commodity	340.42	-0.5	10.4	23.2
WTI Crude \$/Barrel ^{††}	98.32	-0.4	46.7	71.2
Gold Spot \$/Ounce ^{††}	4492.42	-10.5	-14.9	4.0

Currencies	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.16	1.14	1.18	1.17
USD/JPY	159.23	159.73	156.05	156.71
USD/CNH	6.91	6.91	6.86	6.98

S&P Sector Returns



Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 16, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Portfolio Construction in the Age of Industrial Geopolitics*: Current geopolitical tensions add support to our high-conviction theme of aerospace and defense. But it is time to reframe and widen the lens when it comes to investing in defense. Modern defense is no longer just missiles, tanks and large defense contractors. Rather, it is an entire industrial ecosystem—ranging from rare earth minerals to semiconductor fabs to satellites and undersea cables to Artificial Intelligence (AI) and digital infrastructure. Industrial geopolitics is about governments taking ownership in strategic mining and materials firms; export restrictions on advanced chip technologies and public sector incentives to increase domestic chip production; the militarization of space, with control of orbital infrastructure, an emerging component of geopolitical power; and protecting and monitoring undersea fiber optic cables given their fragile but crucial role in transmitting vital information. Industrial geopolitics also requires understanding the industrial battlefield and a rethink around risk, opportunity and portfolio construction. Think greater demand for digital infrastructure, logistics, AI, robotics, industrials and commodities. All of this speaks to the overlap between national security and industrial capacity. What is being forged is a new era of industrial geopolitics. Buckle up.

Market View—*The Stagflation Scenario*: The recent geopolitical flare-up has raised concerns about stagflation—a challenging situation that entails rising inflation and stagnant economic growth. Stagflation is not our base case, but the potential scenario bears monitoring as dynamics evolve. While the 1970s and early 1980s serve as a cautionary tale of stagflation's potential impact on markets and the economy, investors should keep in mind that the U.S. economy is far more resilient today. Structural improvements, strong fundamentals and a shift toward energy independence should help buffer against energy shocks. While a prolonged conflict could still elevate upside risks to inflation and downside risks to growth, the U.S. is entering this period of geopolitical uncertainty from a position of relative strength. From a portfolio positioning perspective, we believe investors should maintain well-diversified portfolios to weather uncertainty.

Thought of the Week—*One Key Lesson of the War: The World Still Runs on Fossil Fuels*: Much of the world's energy investment has been dominated by renewables in recent years, but if we've learned anything in the past few weeks it's this: The world still runs on fossil fuels. From shampoo and smartphones to tires and toothpaste—oil and its derivative chemicals ("petrochemicals") are the building blocks behind basically every material and product out there. Same with natural gas and agricultural fertilizer (and, thus, global food supplies). Perhaps less appreciated too is the relationship between fossil fuels and energy-intensive supply chains of a wide range of technological inputs and infrastructure (semiconductors, electric vehicles (EV) batteries, data centers, etc.). Markets in Europe and Asia tend to be more vulnerable, but the inconvenient truth is that oil and gas, and its many derivatives, fuel global growth. Growth estimates for this year have yet to be marked down, but the longer the conflict lasts, the greater the risk to global growth and earnings estimates.

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[THOUGHT OF THE WEEK ►](#)

[MARKETS IN REVIEW ►](#)

Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

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Portfolio Construction in the Age of Industrial Geopolitics

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Current geopolitical tensions only add support to our high-conviction theme of aerospace and defense. In a world where might makes right, we continue to prefer Large-cap global defense leaders.

But that said, it is time to reframe and widen the lens when it comes to investing in defense. Modern defense is no longer about just missiles, tanks and large defense contractors. Rather, it's about an entire industrial ecosystem—ranging from rare earth minerals to semiconductor fabs to satellites and undersea cables to AI and the digital infrastructure.

Consider a single modern fighter aircraft. It contains thousands of semiconductors, advanced composite materials, rare-earth magnets, high-performance alloys, precision sensors and complex software systems, including AI. Each of those components depends on supply chains stretching across mining operations, chemical processing facilities, semiconductor fabs and data-analytics companies. In other words, modern weapons are only the visible tip of a far deeper industrial pyramid supporting defense spending.

Defense as Industrial Policy. We now live in a world where geopolitical strengths are dependent and determined by one's collective industrial capabilities. National security increasingly encompasses the entire industrial network of an economy.

In this network, **mining firms** provide critical minerals and metals like rare earth elements, lithium, cobalt, copper, titanium and nickel that are essential inputs for electronics and advanced military technologies. **Materials companies** produce basic materials like steel, aluminum, carbon composites and specialized alloys for armored vehicles, shipbuilding and missile systems. As the central nervous system of modern defense systems, **semiconductors** power AI, encryption, satellite guidance systems and precision weapons systems. **Satellite and space networks** provide global positions systems (GPS) navigation, secure communications and surveillance capabilities no modern military can live without. And **undersea fiber-optic cables**—that now transmit over 90% of global internet traffic—carry the information that modern warfare depends on.

You get the picture—defense spending now spills into almost every sector of the economy as governments around the world adjust to a number of geopolitical fault lines. These include Russia's invasion of Ukraine, the expanding war in the Middle East, and the great power rivalry between the world's two largest economies: the U.S. and China.

From a policy perspective, industrial geopolitics is about governments taking ownership in strategic mining and materials firms; it's about export restrictions on advanced chip technologies and the public sector incentives to increase domestic chip production; it's about the militarization of space, with the control of the orbital infrastructure a rapidly emerging key component of geopolitical power; and it's about protecting and monitoring undersea fiber-optic cables given their fragile but crucial nature in transmitting the globe's vital information on virtually everything.

In a nutshell, industrial geopolitics is about more government activism in the private sector, requiring investors to be acutely aware of what sectors/companies are tied or not to government incentives and spending when it comes to defense outlays. It also requires an understanding of the industrial battlefield.

Comparing Industrial Ecosystems. In the era of industrial geopolitics, the leaders by sector/function are concentrated among a few nations, with the U.S. and China at the forefront. As Exhibit 1 outlines, China dominates in the processing of critical metals and materials and holds a decisive lead in the global manufacturing of ships, heavy machinery and steel over the U.S., Japan and other industrialized nations.

Portfolio Considerations

We've long emphasized defense as one of our key themes. Beyond Large-cap defense leaders, key beneficiaries include semiconductors, critical minerals, cybersecurity, energy infrastructure, and robotics and automation. We remain overweight Industrials given a multi-year capital expenditures (capex) cycle, aerospace backlogs, higher power demand, and more defense spending in the U.S. and globally.

America’s strengths lie with semiconductors—advanced chips and chip designs, in addition to the digital infrastructure that includes cloud computing, data centers and telecommunication networks. The U.S. also leads in the space (satellites and GPS networks) and AI and software. China, however, is making rapid gains in both space technology and AI—and is hyper-focused on building out its military platform.

Other notable mentions when it comes to industrial ecosystems include Taiwan and South Korea, leaders in chip fabrication, and Japan (robotics). A semiconductor company in the Netherlands dominates in lithography equipment.

Investment implications. For investors, the emergence of industrial geopolitics requires a rethink about risk, opportunity and portfolio construction. Some key takeaways include the following:

- Defense spending—whether in the U.S. or overseas—no longer benefits only traditional weapons manufacturers. It also drives demand across various technology capabilities, industrial manufacturing and the digital infrastructure.
- National strategic objectives favor more government support, subsidies and regulatory protection in such sectors as semiconductors, critical minerals, advanced materials and manufacturing, satellites and space, cybersecurity, energy infrastructure, and AI.
- Industries that support supply-chain resilience—logistics, AI, robotics and industrial automation—should be main beneficiaries of industrial geopolitics.
- Industrials, in general, will likely be large beneficiaries on account of longer, multiyear capex cycles.
- Commodities and materials remain attractive and remain in long-term bull cycle.
- In the emerging markets, South Korea, Taiwan and China technology companies remain attractive.

All of the above speaks about the overlap between national security on the one hand and industrial capacity on the other. What is being forged is a new era of industrial geopolitics. Buckle up.

Exhibit 1: The Industrial Battlefield Map.

Layer of Industrial Power	Strategic Assets	Current Global Strength
Critical Minerals & Processing	Rare earths, lithium, cobalt refining, battery minerals	China dominant in processing and refining; U.S. and allies trying to diversify supply through Australia, Canada, Africa
Industrial Manufacturing Base	Steel, shipbuilding, heavy machinery, precision manufacturing	China largest manufacturing base in the world; U.S., Japan, and Germany strong in high-end manufacturing
Semiconductors	Advanced chips, chip design, lithography equipment	U.S. leads in design; Taiwan and South Korea lead in fabrication; Europe dominates lithography equipment
Digital Infrastructure	Cloud computing, data centers, telecom networks	U.S. leads in cloud, software platforms and digital ecosystems
Satellites & Space Launch	Launch vehicles, satellite constellations, GPS networks	U.S. leads in commercial space and satellite networks; China rapidly expanding
AI & Software	AI models, machine learning, cyber capabilities	U.S. currently leads though China investing heavily
Military Platforms	Naval fleets, aircraft, missiles, defense systems	U.S. dominant globally; China rapidly expanding naval and missile capacity

Source: Chief Investment Office. Data as of March 12, 2026.

The Stagflation Scenario

Emily Avioli, Vice President and Investment Strategist

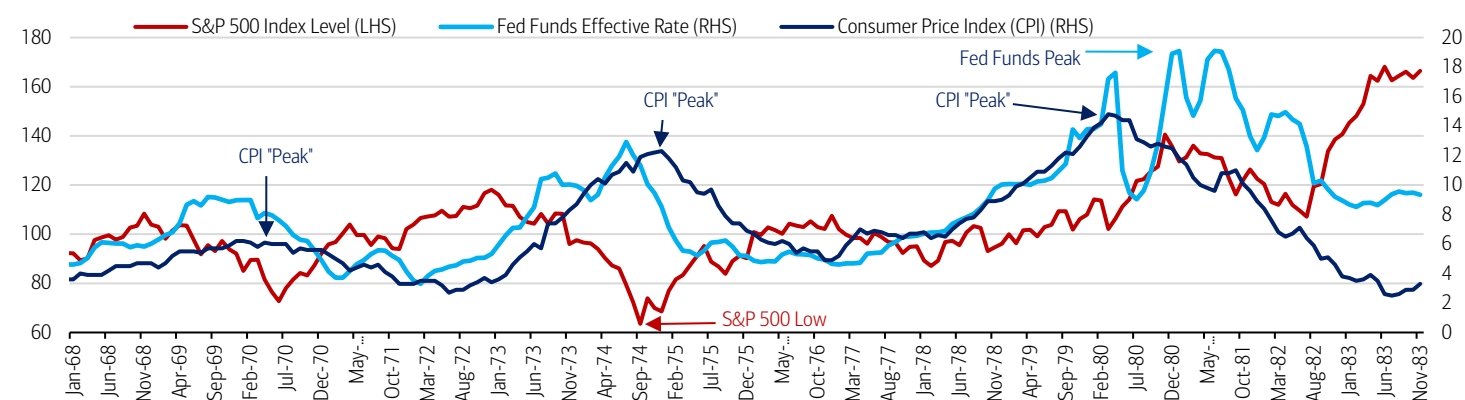
The latest geopolitical flare-up has introduced a new set of potential headwinds for markets. Chief among them is the risk that a sustained rise in energy prices could rekindle inflation while weighing on the economic expansion. Seasoned market observers have been quick to raise the specter of stagflation—the toxic duo of rising prices and stagnant growth. Such an environment presents a policy dilemma: easing monetary policy to support growth risks fueling inflation, while tightening policy to contain prices could further restrain economic activity. A challenging backdrop for investors, indeed.

Stagflation is not our base case. The medium-term growth outlook has not been materially altered by the conflict in the Middle East, consumer fundamentals are broadly healthy, productivity trends remain sound, and U.S. economy today is far more resilient to energy shocks than in past decades. Still, the widely dreaded stagflation scenario warrants a closer look as geopolitical dynamics evolve.

Back to the '70s. The 1970s and early 1980s offer a cautionary tale of stagflation's potential economic and market impact. That period was defined by a damaging mix of persistently high inflation and weak growth, compounded by repeated supply shocks and an initially inadequate policy response. The 1973 Organization of the Petroleum Exporting Countries oil embargo sharply raised energy costs and squeezed household purchasing power, contributing to slowing growth and rising unemployment. The shock was compounded several years later by the 1979 Iranian Revolution, which disrupted global oil supplies and pushed energy prices higher once again. Inflation soared at a time when economic momentum was already fragile. Policymakers struggled to contain rising prices without deepening the economic slowdown, and inflation expectations became entrenched.

Inflation ultimately peaked three separate times over the course of 10+ years before being brought under control in the early 1980s, creating a difficult backdrop for financial markets. Notably, the S&P 500 bottomed out in 1974, almost six years before the final peak in inflation and almost seven years before the peak in rates (Exhibit 2). Small-caps outperformed Large-caps on an annualized basis throughout the 1970s, and Value saw strong returns relative to Growth.¹ Persistent inflation generally eroded real returns on Fixed Income. Real Assets like gold and commodities enjoyed relatively strong performance, with the Bloomberg Commodity Index seeing an annualized gain of 24.0% over the course of the decade.²

Exhibit 2: Equity Performance Against the Stagflation Backdrop.



Source: Bloomberg. Analysis data includes through December 31, 1983, as of March 12, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Fast Forward to 2026. Today's economic landscape looks fundamentally different from that of the 1970s. Structurally, the U.S. economy is far less vulnerable to the type of self-reinforcing price pressures that defined that era. A shift toward energy independence is among the most notable improvements. Whereas the U.S. was once heavily reliant on

¹ BofA Global Research. March 3, 2026.

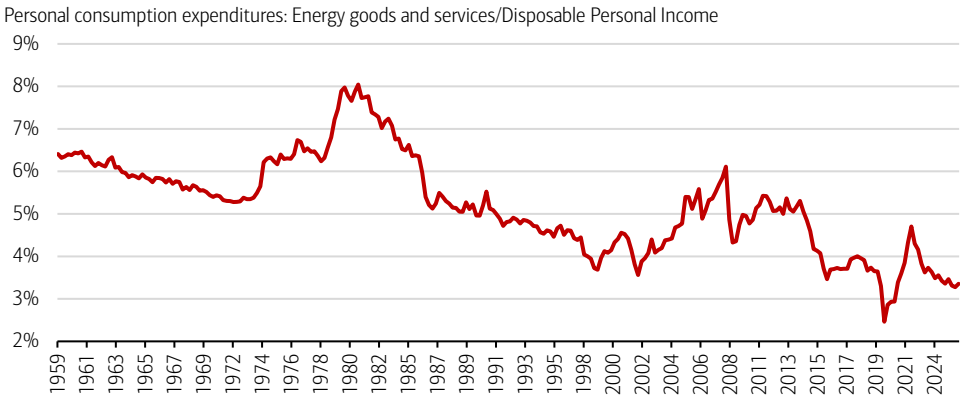
² Bloomberg. Annualized data from December 31, 1969 – December 31, 1979 referenced.

Investment Implications

The latest geopolitical conflict has introduced a number of potential headwinds for markets and the economy. During times of elevated uncertainty, staying well diversified and committed to a long-term financial plan can be a good course of action.

imported oil, it is now a net exporter of energy, providing an important buffer against global energy price shocks. Consumers may also be better positioned to withstand rising energy prices today—energy spending currently accounts for 3.0% of personal income, which is less than half of the average level observed in the 1970s (Exhibit 3). Inflation expectations today also remain relatively well anchored, helping to reduce the risk of the wage-price spiral that helped sustain the rapid pace of price increases during the stagflation era.

Exhibit 3: Energy Spending Is A Lower Percentage Of Disposable Income Compared To Decades Past.



Source: U.S. Bureau of Economic Analysis, Federal Reserve Bank of St. Louis. Quarterly data as of December 31, 2025.

Importantly, the geopolitical conflict is unfolding at a time when inflation pressures have already eased considerably from the mid-2022 peak. The CPI advanced by 2.4% year-over-year (YoY) in February, in line with expectations and just above the Federal Reserve’s 2.0% inflation target.³ While a sustained rise in energy prices could slow progress on disinflation—particularly if the conflict proves prolonged—the structural backdrop suggests the U.S. economy is better positioned to absorb such shocks.

On the growth side of the equation, economic fundamentals remain supportive. In February, the labor market exhibited some signs of cooling following several months of stabilization, with nonfarm payrolls posting a weather-related decline, and the unemployment rate edging up to 4.4%.⁴ Nonetheless, the labor market remains well above recessionary territory. Consumers remain healthy in aggregate, with Bank of America Institute data showing credit and debit card spending rising by 3.2% YoY in February—the fastest pace in over three years.⁵ Recent Institute for Supply Management data suggests that manufacturing is entering a long awaited upswing in the U.S. S&P 500 earnings-per-share are advancing at a double-digit YoY pace and corporate margins remain resilient. Plus, a multi-year technology driven capex cycle is well underway and continued AI adoption and integration is expected to meaningfully boost productivity moving forward.

To be sure, a prolonged conflict that drives oil prices significantly higher for longer could still weigh on economic growth and present upside risks to inflation. However, the U.S. economy is entering this period of geopolitical uncertainty from a position of relative strength. For now, fundamentals remain supportive, and we continue to expect U.S. real GDP growth of approximately 2.8% in 2026.⁶

Conclusion. While the stagflation scenario is not our base case, the risk bears watching considering all the various crosscurrents in the global economic landscape. The upshot: The U.S. economy is structurally stronger and far better insulated from energy shocks than it was in decades past. For investors, the key takeaway is that worries about spillover effects from the latest geopolitical conflict should not derail a long-term financial plan. Maintaining diversification and staying invested during times of volatility remain reliable strategies for navigating periods of uncertainty.

³ Bureau of Labor Statistics. March 11, 2026.

⁴ Bureau of Labor Statistics. March 6, 2026.

⁵ Bank of America Institute. March 10, 2026.

⁶ BofA Global Research. March 13, 2026.

One Key Lesson of the War: The World Still Runs on Fossil Fuels

Ariana Chiu, Assistant Vice President and Investment Strategist

While much of the world’s energy investment has been dominated by renewables (solar, wind, etc.) in recent years, if we’ve learned anything in the past few weeks it’s this: the world still runs on fossil fuels. Per Exhibit 4A, oil, coal, and gas continue to account for 81% of energy consumption globally. That’s not too far off from 86% at the start of the century.

Importantly, the world’s dependency on fossil fuels goes well beyond crude oil itself. From shampoo and smartphones to tires and toothpaste—oil and its derivative chemicals (“petrochemicals”) are the building blocks behind basically every material and product out there. Same with natural gas and agricultural fertilizer (and, thus, global food supplies). Perhaps less appreciated too is the relationship between fossil fuels and high-technology manufacturing: everything from mining and refining strategic minerals to manufacturing plastics and insulation to powering global logistics and construction requires fossil fuels. In other words, not only are oil and gas not a thing of the past, they’re also integral to the energy-intensive supply chains of a wide range of technological inputs and infrastructure (semiconductors, EV batteries, data centers, etc.).

Markets in Europe and Asia tend to be more vulnerable than the U.S. given some combination of 1) their dependence on fossil fuels as net energy importers (Exhibit 4B), 2) a bias toward manufacturing/goods rather than services, and 3) concentrated exposure to specific industries (e.g., industrial manufacturing in Germany, semiconductors in Taiwan). Hence the divergence in market performance since the start of the war; whereas the S&P 500 had underperformed most international markets year-to-date through the end of February, the script has flipped since then with the S&P 500 leading Equities in Emerging Markets by 4%, Japan by 7%, and Europe by 5%.⁷ By the same token, eventual de-escalation in the Middle East would be good news for these markets, in our view.

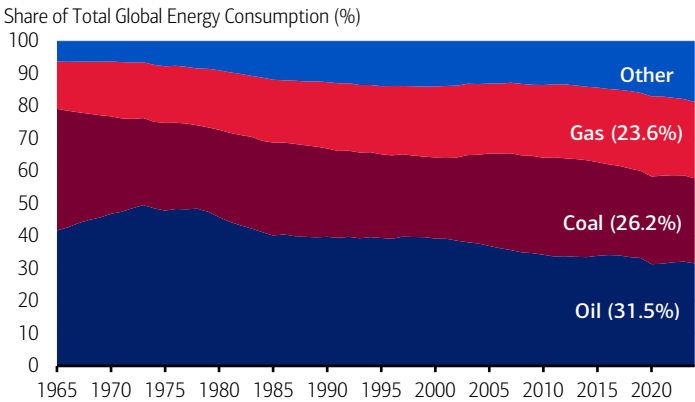
There’s no doubt that the global economy is trending toward a more renewable energy mix. China has been the primary driver there, adding more solar and wind capacity than the rest of the world combined.⁸ Yet even the world’s renewable superpower is vulnerable to higher energy prices. The inconvenient truth is that oil and gas, and its many derivatives, fuel global growth. While growth estimates for this year have yet to be marked down, the longer the conflict lasts and the more disruption to supply chains, the greater the risk to global growth and earnings estimates.

Investment Implications

We believe U.S. and global growth this year can prove resilient but will hinge in part on the length and breadth of the conflict in the Middle East. Volatility is likely to continue in the near-term and with the timing of stabilization still unclear, we emphasize a balanced and diversified approach in portfolios. Longer-term, corporate profits should still be attractive against a backdrop of higher capital investment and productivity.

Exhibit 4: Comparing Energy Dependency in a World Run on Fossil Fuels.

A) Global Economy Still Dependent on Fossil Fuels.



B) Economies in Europe and Asia Are Net Energy Importers.

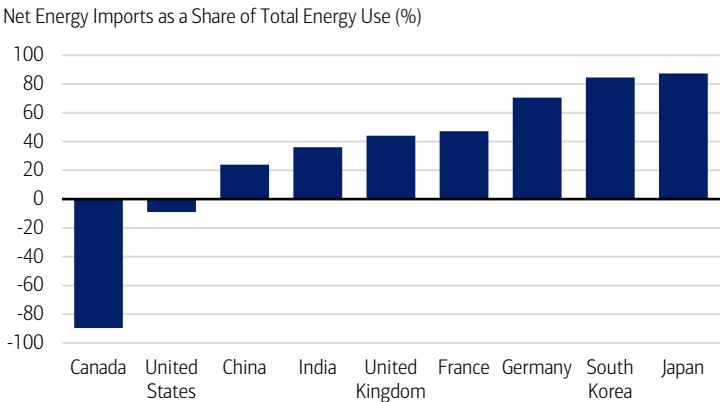


Exhibit 4A) Source: Energy Institute. Data as of March 2026. Exhibit 4B) Negative data indicates net energy exporter status. Source: International Energy Agency, World Bank. Data refers to 2023 or latest available year of data, as of March 2026.

⁷ Refers to MSCI Emerging Markets Index, Nikkei 225 Index, and Stoxx 600 Index. In dollar terms. Data as of March 11, 2026.

⁸ International Energy Agency as of October 2025.

Asset Class Weightings (as of 3/4/2026)

Asset Class	CIO View /		
	Underweight	Neutral	Overweight
Global Equities	●	●	●
U.S. Large-cap Growth	●	●	●
U.S. Large-cap Value	●	●	●
U.S. Small-cap Growth	●	●	●
U.S. Small-cap Value	●	●	●
International Developed	●	●	●
Emerging Markets	●	●	●
Global Fixed Income	●	●	●
U.S. Governments	●	●	●
U.S. Mortgages	●	●	●
U.S. Corporates	●	●	●
International Fixed Income	●	●	●
High Yield	●	●	●
U.S. Investment-grade	●	●	●
Tax Exempt	●	●	●
U.S. High Yield Tax Exempt	●	●	●
Alternative Investments*			
Hedge Strategies		●	
Private Equity		●	
Private Credit		●	
Real Assets		●	
Cash			

CIO Equity Sector Views

Sector	CIO View /		
	Underweight	Neutral	Overweight
Financials	●	●	●
Utilities	●	●	●
Consumer Discretionary	●	●	●
Industrials	●	●	●
Information Technology	●	●	●
Healthcare	●	●	●
Materials	●	●	●
Real Estate	●	●	●
Consumer Staples	●	●	●
Communication Services	●	●	●
Energy	●	●	●

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/13/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.6
Real U.S. GDP (% q/q annualized)	1.4	2.2*	3.3	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.7	3.6	3.1	2.9	3.1
Core CPI inflation (% y/y)	2.7	2.9*	2.5	2.8	2.6	2.6	2.6
Unemployment rate (%)	4.5	4.3*	4.4	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics.

There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.

A = Actual. E/* = Estimate. Data as of March 13, 2026.

Sources: BofA Global Research; GWIM ISC as of March 13, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	46,558.47	-1.9	-4.8	-2.8
NASDAQ	22,105.36	-1.2	-2.4	-4.8
S&P 500	6,632.19	-1.6	-3.5	-2.9
S&P 400 Mid Cap	3,340.96	-2.0	-6.5	1.3
Russell 2000	2,480.05	-1.7	-5.7	0.1
MSCI World	4,329.54	-1.7	-4.9	-2.1
MSCI EAFE	2,901.06	-2.0	-8.6	0.6
MSCI Emerging Markets	1,469.47	-2.0	-8.7	4.8

Fixed Income[†]

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.45	-0.99	-1.93	-0.32
Agencies	4.13	-0.43	-0.95	0.26
Municipals	3.56	-0.68	-1.44	0.73
U.S. Investment-Grade Credit	4.53	-0.92	-1.88	-0.16
International	5.14	-1.44	-2.37	-0.94
High Yield	7.26	-0.77	-1.20	-0.51
90 Day Yield	3.68	3.66	3.66	3.63
2 Year Yield	3.72	3.56	3.37	3.47
10 Year Yield	4.28	4.14	3.94	4.17
30 Year Yield	4.90	4.76	4.61	4.84

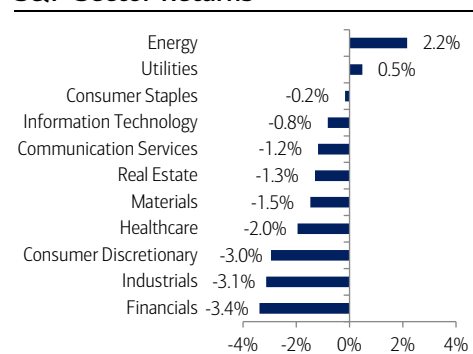
Sources: Bloomberg, Factset. Total Returns from the period of 3/9/2026 to 3/13/2026. †Bloomberg Barclays Indices. ‡Spot price returns. All data as of the 3/13/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Commodities & Currencies

Commodities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Bloomberg Commodity	342.30	2.7	11.1	23.9
WTI Crude \$/Barrel ^{††}	98.71	8.6	47.3	71.9
Gold Spot \$/Ounce ^{††}	5019.49	-2.9	-4.9	16.2

Currencies	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.14	1.16	1.18	1.17
USD/JPY	159.73	157.78	156.05	156.71
USD/CNH	6.91	6.90	6.86	6.98

S&P Sector Returns



Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Bloomberg Commodity Index is a broadly diversified commodity price index distributed by Bloomberg Index Services Limited.

Consumer Price Index is a key economic indicator that measures the average change over time in prices paid by consumers for a representative "basket" of goods and services, such as food, housing, transportation, and medical care.

MSCI Emerging Markets Index is a leading benchmark that tracks the performance of large and mid-cap stocks across 24-27 developing nations.

Nikkei 225 Index is the leading price-weighted stock market index for the Tokyo Stock Exchange (TSE), representing 225 top-rated, blue-chip Japanese companies.

STOXX 600 Index is a broad measure of the European equity market. With a fixed number of 600 components, the index provides extensive and diversified coverage across 17 countries and 11 industries within Europe's developed economies, representing nearly 90% of the underlying investable market.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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